Fremont wins Tournament of Champions —See Sports

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Credit crunch is coming

By R. Gregory Nokes
Associated Press

WASHINGTON — Americans are likely to feel an "immediate impact" from the government's new credit controls and the increase in gasoline prices, two key elements of President Carter's new anti-inflation strategy, his chief economic adviser said Saturday.

But Charles L. Schultze, the chairman of the President's Council of Economic Advisers, said the third key aspect of the Carter plan, a balanced 1981 budget, "will have a more distant impact."

Other administration officials said full details have not yet been worked out on how Carter will achieve his goal of balancing the budget by cutting to $13 billion to $14 billion in spending.

They said Carter will submit a new budget to Congress later this month, which means there will probably be yet another presidential statement on inflation and additional in-fighting in the administration and Congress before the final package is complete.

For example, Budget Director James T. McIntyre wouldn't say whether a decision has been made to eliminate Saturday mail delivery to save about $600 million, even though he said it's one of the savings that has been considered.

"Specifics like Saturday mail delivery will have to wait until

Labor is furious. Page A-3

we get the revised budget together," McIntyre said at a briefing for reporters.

When pressed for details of the budget — the centerpiece of the president's new anti-inflation strategy — McIntyre said they aren't known yet.

"Obviously, I can't give you those figures until I get them together," he said.

He did say the administration had decided against trying to revise the formula for computing inflation adjustments to raise Social Security benefits because it was "too complex" to deal with in the current situation. But, he said, changes need to be made some time.

Schultze defended the administration's move to revise its 1980 economic policies and its 1981 budget just six weeks after they were first announced. He said economic conditions have changed and action is necessary because inflation was getting worse.

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AP

Treasury Secretary G. William Miller (left) and adviser Charles Schultze say the short-term outlook for the economy is grim.

Ford takes himself out of the race

RANCHO MIRAGE (AP) — A late start, too little support and a fear of dividing the Republican Party were the factors that made Gerald R. Ford decide Saturday not to enter the chase for his old office.

He made the decision after a two-hour meeting during which he and his closest political advisers assessed the strengths and weaknesses of a possible Ford candidacy.

Among those there were Stuart Spencer, Ford's chief political strategist in 1976; Thomas Reed, a former Air Force secretary who recently formed a draft Ford committee; two media advisers from the 1976 campaign, John Deardourff and Douglas Bailey; and Ford's executive assistant Robert Barrett.

A Ford associate, who asked not to be identified, said they "looked at all the facts and figures and decided that the mathematics just aren't there, that it would be an uphill fight and it would take almost a miracle" for Ford to overtake Ronald Reagan.

The cold numerical problem, he said, is that by waiting this late Ford has missed the filing deadlines for primaries in more than 20 states which will send

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State GOP cheers. Victory for Carter. Dole drops out. Page A-2.

Klan members and supporters armed with bats and chains beat heckler.

Armed Klansmen fight crowd, cops

OCEANSIDE (AP) — About 30 Ku Klux Klansmen dressed like riot police and armed with guns, shields, knives and Mace, battled along four city blocks with a crowd of hecklers and police Saturday after a rally in a park.

Police shot and killed a Doberman pinscher when a Klansman unleashed the animal on an officer. It was one of several large dogs brought along by the Klan.

No arrests were reported and police refused to make any comment.

The injured included a police officer, two television crew members and a member of the crowd involved with fighting the Klansmen, who were all treated and released from Tri-City Hospital. One of the TV crew members, Stephanie Longmire of KGTV, was struck in the head by a piece of concrete, witnesses said.

Bruce Kala, 33, of Los Angeles, who described himself as a member of the Revolutionary Socialist League, required more than 200 stitches to close wounds in his head that he said he suffered when he was kicked and beaten by Klansmen.

The turmoil at John Landes Park began shortly after 2 p.m. when the Klansmen were confronted by about 50 people, mostly neighborhood residents, who heckled and jeered them. The crowd grew to about 150 as other residents and members of an earlier anti-Klan rally drifted into the park.

Witnesses said that as the Klansmen marched from the park, hecklers hurled rocks, bottles and a bicycle.

The Klansmen formed into a phalanx, a leader yelled "Charge," and with their shields raised, they surged into the crowd, beating hecklers.

Wally Stevens II, an Oceanside City Council candidate, said hecklers precipitated the confrontation by throwing "anything they could get their hands on."

"They started it. The Oceanside Police Department just stood there," he said.

Witnesses said the violence continued for at least 15 minutes before police moved in from four blocks away.

When a Klansman unleashed his dog at an officer, it was killed with one gunshot. The crowd scattered and cheered and the Klan began using shields and clubs against police as they backed up the street to their cars about three blocks away.

Police regrouped and marched to where the Klansmen were parked. They blocked off the street from the crowd and directed the Klansmen out of the area.

Earlier in the week the City Council in this coastal communi-

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Castro asylum offer to Bogota guerrillas

BOGOTA, Colombia (AP) — Cuban President Fidel Castro has offered asylum to guerrillas holding an estimated two dozen hostages including the U.S. ambassador and 18 other foreign diplomats in the Dominican Republic Embassy, a Colombian newspaper reported Saturday.

The newspaper, El Tiempo, said the offer of asylum was relayed to Colombian President Julio Cesar Turbay Ayala in a message sent by Castro on Friday.

The newspaper did not cite sources for its report. It is, however, a respected morning daily that is regarded as reliable. It is also generally politically aligned with the government.

Other unofficial but usually reliable sources said Castro offered in the message to have the Cuban ambassador in Bogota, Fernando Ravelo, serve as mediator between the government and the terrorists.

Nether the ambassador nor the president's office would reveal the contents of the Cuban leader's message.

Radio Havana said in a broadcast monitored in Miami on Friday evening that Cuba had sent Turbay Ayala a "proposition" to help resolve the crisis that headed into its 19th day Sunday.

The broadcast said the message was delivered to Turbay Ayala by Ravelo, who said the Colombian president was receptive to the idea

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Tax break law for airlines costs counties

By Don DeMain
and Virgil Meibert
Tribune Staff Writers

What was intended six years ago as a stimulus to California's airline industry is now conceded to have failed, with the only results being millions of dollars in property tax savings to airlines and a corresponding loss in revenues to four counties in the state, including Alameda.

No one, including tax and fiscal experts of the state, really knows what the actual costs are since they are part of a labyrinthine system of appraisal and tax codes.

But this year it probably will cost Alameda County alone at least $400,000 in taxes that airlines using the Oakland International Airport would have paid on their aircraft were it not for an experimental tax law passed in 1973.

The state law is due to expire June 30 this year, but there is pressure to pass emergency legislation to extend it indefinitely.

The state Senate Taxation and Revenue Committee, headed by Sen. John Holmdahl, D-Castro Valley, is scheduled to open hearings on the tax break extension Wednesday in Sacramento.

The 1973 law was sponsored by Sen. William Coombs, D-San Bernardino, but Holmdahl himself has written the extension bill at the request of the Port of Oakland and World Airways, the Oakland-based charter airline whose tax savings were estimated at $123,600 the first year the original law went on the books.

In justifying the extension, Holmdahl pointed out that more than $500 million worth of similar exemptions are given every year to other California industries, particularly to the business community that recently was granted business inventory exemptions amounting to a savings of $476 million annually.

Nevertheless, Robert Gustafson, chief of operations for the state Board of Equalization, said the board will oppose any renewal of the airline exemptions.

Gustafson said the equalization board has not been able to determine just how much extension of the tax favors would cost Alameda County or other counties in the state with major airline business.

But in 1973 it was estimated that annual revenue losses would be $1 million for Los Angeles, $865,000 for San Mateo County, containing San Francisco International Airport, $278,000 for Alameda County and $110,000 for San Diego. That was the basis on which the state was to reimburse the counties for the revenue loss due to the airline tax exemptions.

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Terrorists raid two campaign headquarters

Associated Press

Masked terrorists toting guns raided the headquarters of two presidential candidates in New York and Chicago on Saturday, subduing campaign workers, ransacking the offices and painting the walls with Puerto Rican nationalist slogans.

The raiders struck simultaneously at the Chicago headquarters of President Carter and the Manhattan offices of Republican George Bush. They tied up the campaign workers, searched the offices, scrawled such slogans as "Free Puerto Rico," and left.

None of the temporary workers — seven in Chicago and about 10 in New York — was hurt and all were free in about an hour.

The takeovers came on the eve of Puerto Rico's Democratic presidential primary, where the choice of a candidate is tangled

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Moslem clergymen lead in disputed Iran voting

Associated Press

Conservative Moslem clergymen Saturday appeared headed for control of Iran's parliament, which Ayatollah Ruhollah Khomeini has said will decide if and when to free the 50 Americans hostages in Tehran.

Early returns in the first round of balloting for the 270-member parliament, or Majlis, indicated a strong showing by the Islamic Republican Party, dominated by Moslem clerics who are expected to challenge the authority of President Abolhassan Bani-Sadr.

Bani-Sadr, a devout Moslem but not a clergyman, has called for a solution to the hostage crisis that would include freedom for the Americans who Saturday spent their 133rd day as captives of Iranian militants in the occupied U.S. Embassy. He told a French newspaper Friday that the continued holding of the hostages was hurting Iran's image among European and non-aligned nations.

A spokesman for the Interior Ministry was quoted by Tehran Radio as saying the Majlis could convene in three weeks, which would be much earlier than expected, if two-thirds of the seats are filled in first-round voting. But the broadcast also reported Interior Minister Mahdavi Kani did not expect more than 150 first-round winners, 30 short of two-thirds.

Khomeini has said the Majlis will decide the fate of the American hostages, and it generally is believed the legislature will not assemble until late April or consider the hostage issue until May.

Officials at Islamic party headquarters in Tehran said that

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Raider 'newspaper' creates a controversy

By Gene Ayres
Tribune Staff Writer

A special football magazine supplement, paid for and compiled by the Oakland Raiders to explain their controversy with the Coliseum here, carries several Oakland Tribune articles, reprinted with large sections missing.

Tribune Staff Writer Tom Weir, who wrote five of the articles, said some of his stories were cut by half or more with some of the deleted matter containing the Coliseum side of the controversy.

Weir said the Raider version of his stories, selected and tailored to Raider needs and reprinted without Tribune permission, had made him "an unwilling party to a biased presentation of a controversy."

On one of the stories, the original Tribune headline, "Raiders reply to lease proposal: No!" was changed to "Mayor Upset By Revised Offer," a reference to Mayor Lionel Wilson, who is mentioned in the story.

The special Raider insert section — 15,000 copies — was ordered by the Raiders from the Chicago-based Pro Football Weekly, which mailed them to Raider season ticket holders from a list the Raider front office provided.

"After they had seen the insert," Hub Arkush, the magazine's publisher, told The Tribune, "They were happy with it and ordered another 15,000 in bulk. I believe they said they're putting them out at bus and train

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City Manager David Sell's unkept pledge to an architect raises questions about affirmative action in Oakland. Page A-18.

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